

ZEW rebound lends hope of a stabilization in activity

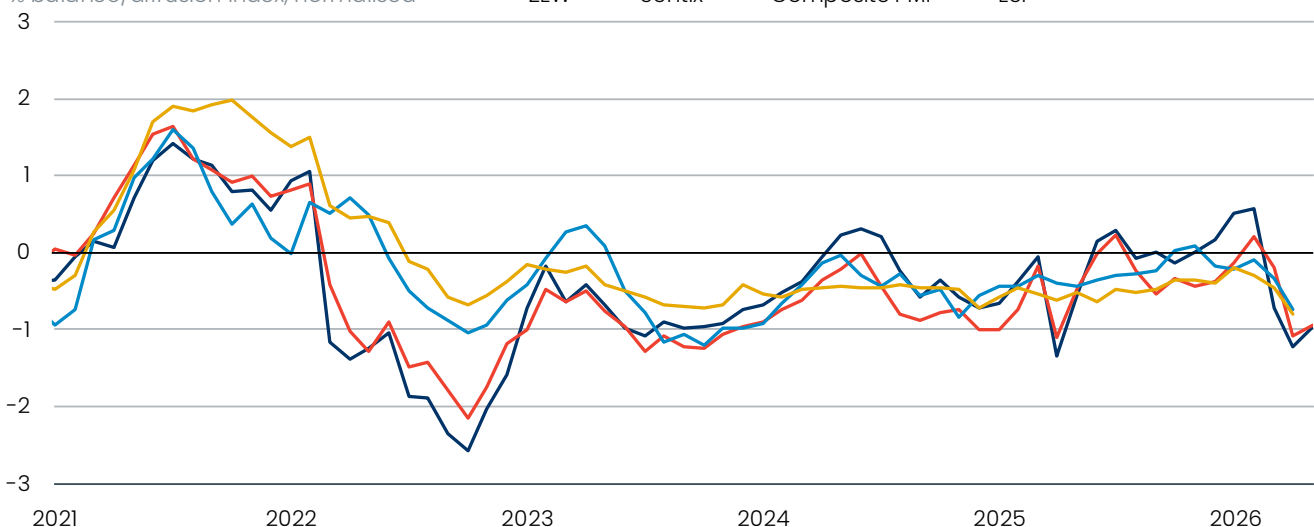
- The ZEW index for the Eurozone rebounded modestly in May, reversing most of April's slump. Reassuringly, this matched a tentative stabilization seen in other surveys. The assessment of the current situation improved, which suggests businesses are hopeful that the drag from the ongoing energy crisis will prove modest, particularly if a deal between the US and Iran is struck soon.
- In Germany, the ZEW index broadly matched the pattern seen in the Eurozone, even if the improvement in expectations was more modest. However, the assessment of the present situation continued to falter, pointing to high energy prices increasingly weighing on activity in Germany.
- Today's pick-up in ZEW is broadly in line with modest improvements in other surveys on the back of hopes of an end to Iran-US hostilities relatively soon and the associated normalization in energy prices. As such, it signals that the hit to sentiment has likely bottomed out, but we need firmer hard data evidence to say the same about real activity.

The ZEW index for the Eurozone rebounded in May, picking up by 11.3pts to -9.1 despite a lingering drag from elevated fuel costs on the economy. This likely reflects growing hopes of an Iran-US deal to be struck shortly. Notably, the current assessment improved too, even if modestly as over 40% of respondents still assess the state of the Eurozone's economy as "bad". The picture on the sectoral front was much less upbeat, with only construction and IT sectors seeing improvements in near-term outlooks, while capital goods producers led by the automotive sector as well as energy-intensive and consumer facing sectors witnessing further downside revisions.

Chart 1: ZEW joined Sentix in a modest pick-up in May

Eurozone: Key surveys

% balance/diffusion index, normalised



Sources: Oxford Economics, Haver Analytics, S&P Global

Taken at face value, a modest pick-up in the ZEW in May is in line with the tentative stabilization we saw in other forward-looking surveys. This was particularly visible in the Sentix index, which rebounded modestly in May, even if it still remained at a historically subdued level.

But we caution against excessive optimism. While the improvement in the PMIs in April was a net positive too, we took little comfort in it as it was all but a statistical artifact of interpreting higher delivery times as a sign of excessive demand and not supply pressures as is [currently](#) the case. And the strong passthrough to output prices reaffirms our call that the ECB is set to tighten monetary policy starting in June.

In Germany, the ZEW index rose 7pts to -10.2 indicating that the near-term expectations have improved too. At the same time, and at odds with the wider Eurozone, the assessment of the current stance continued to falter, declining 4.1pts to -77.8, the gloomiest level since December. This points to the Eurozone's biggest economy remaining in the doldrums as the hit from the energy crisis keeps weighing on activity, particularly in services, while the fiscal support isn't feeding through sufficiently yet.

Overall, we think that today's results are mildly positive but do not fundamentally alter the balance of risk around our near-term GDP forecasts as we need firmer hard data evidence to make the call that real activity has bottomed out too. We now see Eurozone's GDP advancing at a mere 0.1% q/q in Q2 and a marginal recession at -0.1% q/q for Germany.